ISCANN GROUP · NEXT LEVEL THREAT · SIGNAL & FRACTURE

Taiwan Strait Risk Assessment

The $10 Trillion Chokepoint

Q2 2026 · CLASSIFIED · AUTHORISED RECIPIENTS ONLY

Executive Summary

62–68%

Probability of Coercive Event

Significant cross-strait coercive action within 24-month window

$10T

First-Year Economic Damage

Estimated global economic impact from conflict scenario

92%

Advanced Chip Production

TSMC's share of most advanced semiconductor manufacturing

CRITICAL RISK ASSESSMENT - Highest classification under IScann Group's Next Level Threat methodology. The Taiwan Strait represents the single highest-consequence fracture point in the global system. A successful Chinese blockade or kinetic action would collapse the semiconductor supply chain, generate $10 trillion in first-year global economic damage, and force the most consequential US strategic decision since 1962.

The question is not whether this fracture is possible - it is whether the international community has built the decision architecture to manage it before it becomes irreversible. Every realistic escalation pathway generates consequences that are simultaneously military, financial, technological, and political - affecting every G7 economy, every major technology company, and every government that has staked its defence architecture on US extended deterrence.

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Situation Overview

Current State

The Taiwan Strait is experiencing its most sustained period of militarized pressure since the Third Taiwan Strait Crisis of 1995-96. The tempo of Chinese coercive activity has accelerated materially in the twelve months preceding this assessment.

On 29-30 December 2025, the People's Liberation Army conducted Justice Mission 2025 - its largest-ever blockade simulation exercise, deploying over 100 aircraft, 13 warships, 14 China Coast Guard vessels, and firing 27 rockets from Fujian province. For the first time, China demonstrated the capacity to threaten Taiwan's primary port infrastructure at Kaohsiung with cheap, conventional artillery rather than expensive ballistic missiles. A Taiwanese frigate, the Pan Chao, reported a Chinese destroyer locking its fire-control radar onto the vessel. The machinery of escalation sat visibly primed for several hours.

This exercise was not an aberration. It was the culmination of a systematic PLA campaign to normalize military presence within and around Taiwan's territorial buffers. In 2025 alone, the ISW-AEI Coalition Defence of Taiwan project confirmed 46 incursions into Kinmen's waters and 32 into Pratas' waters. Taiwan detected 269 Chinese military aircraft in surrounding airspace by January 2026, of which at least 166 crossed the unofficial median line or entered Taiwan's air defense identification zone. Chinese maritime militia vessels - operating under legal ambiguity as fishing boats - participated in blockade drills for the first time.

1

Undersea Cable Operations

Four cables severed in first two months of 2025, responsible for 99% of Taiwan's international internet traffic

2

Maritime Militia

Grey-zone operators participating in blockade drills under legal ambiguity

3

Coast Guard Actions

Law enforcement framing providing operational and legal ambiguity for coercive action

Why It Matters

Taiwan's strategic significance extends far beyond its political status. The island's semiconductor industry accounts for 18% of its GDP and 60% of its exports. Taiwan's foundries, led by TSMC, hold 78% of global semiconductor market share and 92% of the manufacturing capacity for the most advanced chips - the 3nm and 5nm nodes that power every AI accelerator, every advanced defence system, every premium smartphone, and every data centre expansion globally.

The Taiwan Strait is simultaneously a critical global trade artery. Approximately 20% of global maritime trade - estimated at $2.45 trillion annually - and 44% of the world's container fleet transit the Strait each year. A full-scale conflict would close this corridor entirely, forcing re-routing through the Lombok or Sunda Straits and adding 3-5 days to Asia-Europe shipping.

Bloomberg Economics estimates a full Taiwan conflict at approximately $10 trillion in first-year costs - equivalent to roughly 10% of world GDP - exceeding the economic damage of the COVID-19 pandemic. The strategic implications for the US-led alliance architecture are equally severe. A Chinese military success against Taiwan would fundamentally shatter the credibility of US extended deterrence across the entire Indo-Pacific.

Signal → Fracture

Weak Signals: The Paralysis Campaign

China's military exercises are widely interpreted as rehearsals for invasion. The more precise reading is a paralysis doctrine: the systematic compression of Taiwan's defensive decision space, and the exploitation of the time it takes coalitions to determine whether a red line has been crossed, to establish facts on the ground before a unified political response can be mounted.

Cable-cutting operations, grey-zone maritime militia deployments, and the legal ambiguity of China Coast Guard 'law enforcement' operations are not pre-invasion signals - they are the invasion, conducted below the threshold of kinetic response.

Emerging Fracture: The Energy Chokepoint

Taiwan imports approximately 98% of its energy. Its liquefied natural gas reserves stand at an estimated 11 days of effective supply. A selective Chinese quarantine on LNG shipments to Taiwan, without a single military shot fired, would force a Taiwanese economic crisis within two weeks.

This is not a theoretical scenario: China's Coast Guard has already demonstrated the legal and operational template for selective maritime interdiction through its Kinmen and Pratas patrol campaigns.

⚠ **The fracture scenario most likely to actualize is not the invasion scenario most analysts are modeling.** It is a quarantine - legally ambiguous, reversible, and calibrated to place the burden of the first kinetic escalation squarely on the United States. That hesitation - the coalition decision paralysis - is precisely what the PLA's posture is engineered to exploit.

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Key Drivers

Structural Drivers

1

2027 PLA Readiness Benchmark

Xi Jinping has explicitly ordered the PLA to develop the capability to 'fight and win' a war over Taiwan by 2027. The 2025 Pentagon China Military Power Report confirms progress toward this benchmark, including sixth-generation aircraft development, the new DF-27 ICBM (8,000km range), and a target of nine aircraft carriers by 2035.

Military readiness does not equal intent, but the 2027 timeline has materially shaped PLA procurement, exercise tempo, and the political expectation management of Chinese domestic audiences.

2

Taiwan's Political Vulnerability

President Lai Ching-te's administration has adopted the toughest cross-strait posture in a decade, including cracking down on Chinese infiltration and espionage and hardening rhetoric on Taiwan's de facto autonomy.

The opposition-controlled Legislative Yuan initiated unprecedented impeachment proceedings against Lai in December 2025, creating a domestic political fracture that Beijing has explicitly noted provides leverage. Taiwan's internal political division is a structural vulnerability that China is actively exploiting through influence operations.

3

US Strategic Ambiguity Erosion

The Trump administration's transactional approach to alliance management has introduced uncertainty about the conditions under which the US would defend Taiwan militarily. Xi Jinping has reportedly assessed that Trump 'evinces little interest in Taiwan beyond its chipmaking capacity' and that his desire to be seen as a peacemaker creates a potential window.

An $11 billion US arms package to Taiwan approved in December 2025 provides capability without guaranteeing commitment.

Immediate Triggers

1 **Formal Independence Declaration**

A formal Taiwanese declaration of independence, or any statement by Lai's government that Beijing interprets as crossing its stated red lines on sovereignty, would trigger an immediate PLA military response under China's stated doctrine.

2 **Security Agreement Escalation**

A significant US-Taiwan security agreement - particularly any that moves toward formal diplomatic recognition or basing rights - would constitute a casus belli under PRC political framing.

3 **Strait Incident with Casualties**

A Taiwan Strait incident involving a US Navy vessel and a PLA or China Coast Guard asset, in which casualties occur before political de-escalation channels can be activated, has a high probability of uncontrolled escalation given the compression of reaction time.

4 **Domestic Political Crisis**

A Taiwanese domestic political crisis - including a successful impeachment of Lai or a government collapse - that produced a successor administration willing to accept Beijing's framework could be exploited by Beijing as a 'peaceful reunification' precedent.

Actors Involved

State Actors

- **People's Republic of China:** PLA, PRC State Council, CCP Politburo Standing Committee
- **Taiwan:** ROC government, ROCAF, ROCN
- **United States**: INDOPACOM, State Department, National Security Council
- **Japan**: JSDF - direct treaty obligations and Okinawa base exposure
- **Philippines** - US treaty ally, direct South China Sea territorial claimant
- **Australia:** AUKUS partner, Five Eyes intelligence sharing

Non-State / Para-State Actors

- **Chinese maritime militia:** Legal grey-zone operators
- **TSMC**: Operational decisions under blockade would be the single most consequential corporate action in history
- **China Coast Guard**: Operating under domestic law enforcement framing to provide legal ambiguity)

The actor dynamic that most distinguishes this theatre: TSMC is not merely an economic asset - it is a geopolitical actor whose decisions about whether to continue operating, destroy its own facilities, or transfer technology under duress would be among the most consequential decisions of any entity in the conflict. No other hotspot features a private company whose choices are as strategically significant as those of the governments involved.

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Scenario Analysis – Probability

Scenario	Description	Probability	Horizon
Scenario 1: Sustained Grey-Zone Pressure	PLA maintains and intensifies paralysis campaign without kinetic action. Taiwan's political cohesion erodes. US commitment ambiguity deepens.	42%	0-18 months
Scenario 2: Selective Quarantine	China imposes maritime quarantine on Taiwan, targeting LNG shipments. Taiwan faces energy crisis within 14 days. US faces decision under maximum legal ambiguity.	25%	6-24 months
Scenario 3: Full Blockade/Kinetic Action	Full military blockade or amphibious invasion triggered by independence declaration, major incident, or PLA decision that 2027 window has opened.	18%	12-24 months
Scenario 4: De-escalation	US-China diplomatic engagement produces modus vivendi on Taiwan's status, reducing military activity and creating structured communication framework.	9%	12-24 months
Scenario 5: Black Swan Miscalculation	Unintended kinetic exchange - collision, locked radar, fired warning shot - escalates faster than political channels can manage. Neither side intended war.	6%	0-12 months

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Risk Assessment

CRITICAL ZONE – Maximum Designation

90%	100%	90%
Probability	**Impact**	**Composite Risk**
Very High - PLA 2027 benchmark, sustained grey-zone escalation, domestic political vulnerability	**Systemic/Global** - Comparable impact ceiling across semiconductor, trade, alliances, financial markets	**CRITICAL** - Maximum designation under IScann framework

The Taiwan Strait risk assessment does not merely occupy the Critical Zone, it defines the outer boundary of IScann Group's Next Level Threat risk matrix. The impact score of 100% reflects the unique convergence of semiconductor supply chain monopoly, maritime trade corridor dependency, nuclear-armed great-power confrontation, and alliance architecture stress that no other assessed hotspot replicates.

Assessment Velocity

Accelerating. Signal density increased 85% quarter-over-quarter since Q2 2025. Justice Mission 2025 represents a qualitative escalation from prior exercises.

Distinguishing Factor

The only hotspot in the IScann register where the financial detonation mechanism is direct, immediate, and unmediated by political or institutional buffers. A TSMC production halt propagates into global markets within 72 hours.

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Consequences Analysis

First-Order Effects

1

Semiconductor Shock

TSMC produces 92% of world's most advanced chips. Production halt propagates through Apple, Nvidia, AMD, Qualcomm within 72 hours. Global lead times extend to multi-year horizons with no credible substitution pathway.

2

Maritime Trade Disruption

Taiwan Strait carries 20% of global maritime trade. Closure adds 3-5 days to Asia-Europe routes, generating freight cost increases of 150-300% within weeks - Houthi Red Sea disruption at three times the scale.

3

Financial Market Response

Bloomberg Economics estimates $10 trillion first-year global economic damage (10% of world GDP). Equity markets face 20-40% correction in technology-heavy indices. Dollar-yuan exchange under acute stress.

Second-Order Effects

Alliance Architecture Collapse

US failure to defend Taiwan effectively forces irreversible reassessment of US security guarantees. Japan, South Korea, Australia, Philippines each reassess alliance commitments.

Nuclear Proliferation Risk

Japanese decision to pursue independent nuclear deterrence represents most significant proliferation event since Cold War. Forces reassessment of non-proliferation architecture globally.

Technology Transfer

Successful Chinese seizure of semiconductor capacity represents most significant transfer of technological capability in history. Eliminates primary mechanism for AI compute superiority.

Known Unknowns

PLA Effectiveness

PLA internal command and control following 2023-2024 purges of senior Rocket Force leadership - extent to which this degraded actual operational capability

US Support Conditions

Conditions under which the Trump administration would commit US military force to Taiwan's defence, and whether those conditions have been communicated to Beijing with sufficient clarity

TSMC Planning

TSMC's contingency planning under blockade scenario - specifically whether 'scorched earth' option has been operationalized and at what point of political pressure it would be triggered

Blind Spots

Paralysis Doctrine Evolution

The most significant analytical blind spot is the possibility that Beijing's paralysis doctrine is more advanced than visible military activity suggests. The grey-zone campaign may already be achieving its primary objective of eroding Taiwanese political will to resist without triggering kinetic response.

Impact of US Distraction

Second major blind spot is interaction between Taiwan crisis and simultaneous stress in other theatres. Chinese decision during maximum US distraction would compress US response capacity in ways no current wargame has adequately modeled.

Stakeholder Impact

Relative Beneficiaries

- **China:** Achieves reunification objective and semiconductor capacity control under Scenario 3 success
- **Russia:** US strategic attention fully consumed; reduced Western capacity for Ukraine theatre
- **Alternative semiconductor producers:** Samsung, Intel, emerging fabs face massive demand surge
- **Defence industry supply chains:** Competitors to US/Taiwan defence technology gain relative position
- **Commodity exporters:** Oil, LNG, and food commodity producers benefit from supply shock pricing

Negatively Exposed

- **Taiwan:** Existential threat to sovereignty, economy, and civilian population
- **United States:** Alliance credibility, technology supply chain, and global strategic position at risk
- **Japan:** Direct security exposure via Okinawa bases; existential reassessment of deterrence
- **TSMC customers:** Apple, Nvidia, AMD, Qualcomm face production halt with no substitution pathway
- **Global technology sector:** Every AI development roadmap and product release timeline collapses

⚠ **The primary intelligence failure risk:** Collective political decision by Western governments to treat each escalatory step as individually manageable, without aggregating them into the composite picture of systematic preparation that they represent when assessed together.

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Key Indicators & Strategic Outlook

Early Warning Signals

01

Military Posture

PLA activation of Western Theatre Command in Taiwan-focused exercises. Western Theatre Command handles India frontier - its activation signals two-front deterrence posture.

02

Commercial Stockpiling

Accelerated Chinese stockpiling of semiconductor equipment, rare earth materials, and strategic commodities beyond normal inventory cycles. US Treasury export control enforcement at elevated pace.

03

Financial Flows

Unusual capital outflows from Chinese domestic equity markets and accelerated pace of sovereign wealth fund repatriation from US dollar-denominated assets.

04

Logistics Capacity

Accelerated Chinese civilian roll-on roll-off ferry construction beyond 70 vessels planned for completion by end-2026, or formal integration of civilian logistics into PLA amphibious exercises.

05

Political Language

Any Chinese official statement that drops 'peaceful' from 'peaceful reunification', or internal CCP communication that frames Taiwan action as 'historical mission' within defined time horizon.

Trigger Thresholds: Any combination of Indicators 2, 3, and 4 activating simultaneously within a 60-day window constitutes a Fracture Imminence Signal under IScann methodology and requires immediate client escalation regardless of the status of overt military indicators. Financial and logistical preparation signals are more reliable leading indicators of intent than military posture signals.

Strategic Outlook

6 Months

Grey-zone pressure continues at or above Justice Mission 2025 intensity. PLA conducts at least two major exercises. Cable-cutting incidents continue. Median line violations become new normal. Taiwan's domestic political dysfunction deepens.

12 Months

The critical decision window. PLA approaches stated 2027 readiness benchmark. US-China diplomatic engagement either initiated or fails to materialize. Taiwanese domestic political event most likely near-term trigger. Semiconductor stockpiling accelerates, raising chip prices 15-25%.

24 Months

Assessment window closes at maximum risk. PLA has either demonstrated 2027 capability and used it, demonstrated it and not used it, or failed to demonstrate it. Taiwan's semiconductor foundries will have begun relocating advanced capacity to Arizona, Japan, Germany - but transition less than 15% complete. Global dependence remains above 80%.

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Final Assessment

CRITICAL RISK - HIGHEST CLASSIFICATION The unmatched convergence of great-power military confrontation, semiconductor supply chain monopoly, maritime trade corridor dependency, and alliance architecture stress, with the most likely outcome being a sustained grey-zone paralysis campaign that progressively erodes Taiwanese political will and Western coalition cohesion without triggering a decisive military response.

This situation represents a CRITICAL risk due to the unmatched convergence of great-power military confrontation, semiconductor supply chain monopoly, maritime trade corridor dependency, and alliance architecture stress, with the most likely outcome being a sustained grey-zone paralysis campaign that progressively erodes Taiwanese political will and Western coalition cohesion without triggering a decisive military response, while the greatest concern remains a selective quarantine or miscalculation incident that forces the United States to choose, under time pressure and legal ambiguity, between accepting a Chinese fait accompli or firing the first kinetic shot of a potential great-power war.

The Taiwan Strait in 2026 is not a crisis that has not yet arrived. It is a crisis that is being conducted in a register that the international community's existing response architecture was not designed to detect. The paralysis doctrine - the systematic exploitation of coalition decision time, legal ambiguity, and the hesitation that accompanies any action that might fire the first shot of a great-power war - is more sophisticated, and more likely to succeed, than the invasion scenario that dominates Western analytical and policy attention.

The semiconductor dimension of this assessment cannot be overstated. TSMC is not a company. It is the single most consequential piece of physical infrastructure in the global economy, and it sits on an island 100 miles from the mainland of the world's most capable authoritarian military power. Every AI development programme, every defence modernisation initiative, every critical infrastructure investment predicated on continued access to advanced computing is predicated on the assumption that Taiwan's fabs remain operational and accessible. That assumption is now structurally at risk, and the speed with which markets, governments, and corporations have priced that risk remains dramatically insufficient relative to the probability and impact assessment IScann assigns.

China's calculus is not irrational, and that is what makes it dangerous. Xi Jinping has identified a window - defined by PLA readiness, US domestic political distraction, Taiwanese political division, and European strategic fatigue following Ukraine - that he believes is closing. He has not decided to act. But the architecture of the grey-zone campaign suggests a deliberate preparation of the operational environment that would allow action to occur at a moment of Beijing's choosing, with maximum coalition confusion and minimum warning time. The distance between the current grey-zone escalation and a selective quarantine is smaller than at any prior point in the cross-strait relationship's history.

Primary Intelligence Failure Risk

Collective political decision by Western governments to treat each escalatory step as individually manageable, without aggregating them into the composite picture of systematic preparation that they represent when assessed together.

Justice Mission 2025 Message

Not an exercise - a demonstration to Taiwan, United States, and every government that holds assets in the Indo-Pacific that the capability exists, the will exists, and the legal ambiguity has been engineered.

IScann's assessment is unambiguous: the Taiwan Strait fracture will determine the shape of the international order for the remainder of the 21st century. It is the one hotspot on the IScann register where the outcome is not merely consequential - it is constitutive. Every government and corporation that holds a stake in the stability of the global technology supply chain, the credibility of the US alliance system, or the continued operation of the rules-based international order must treat this assessment not as a scenario plan but as an active operational decision framework.

> **The signal has been sent. The fracture is being engineered. The window in which strategy remains possible is open. It will not remain so indefinitely.**

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Confidence Level & Intelligence Gaps

Confidence Level: Medium-High

Data Quality

Strong on structural indicators, PLA exercise documentation, semiconductor supply chain analysis, and financial exposure mapping. Moderate on PLA internal command dynamics post-purge. Limited on Xi Jinping's personal decision timeline and conditions he has set for action.

Primary Intelligence Gap

Internal PLA assessment of its own readiness relative to 2027 benchmark. If purges revealed capability inflation, 2027 window may be later than publicly assessed - or Xi may accelerate timeline to avoid political cost of admitting delay.

Secondary Intelligence Gap

TSMC's operationalized contingency planning, specifically the 'scorched earth' protocol and conditions under which it would be activated. This is the single most consequential unknown variable in financial impact modelling.

Update Frequency

Monthly standing review. Threshold alerts within 24 hours of qualifying indicator activation. Immediate escalation brief if any two of the five early warning indicators activate within a 30-day window.

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